

Standard Chartered Bank Kenya Limited

The Board of Directors of Standard Chartered Bank Kenya Limited is pleased to announce the Audited results of the Bank and the Group for the year ended 31 December 2018



STATEMENT OF FINANCIAL POSITION		BANK		GROUP	
	2018 KShs. 000 Audited	2017 KShs. 000 Audited	2018 KShs. 000 Audited	2017 KShs. 000 Audited	
ASSETS					
Cash (both local and foreign)	3,579,449	3,723,226	3,579,449	3,723,226	
Balances due from Central Bank of Kenya	16,704,262	9,618,366	16,704,262	9,618,366	
Kenya Government securities and other securities held for dealing purposes	3,936,835	7,046,674	3,936,835	7,046,674	
Financial assets at fair value through profit and loss	393,620	597,360	393,620	597,360	
Investment securities:					
a) Amortised cost/Held to maturity:					
i. Kenya Government securities	-	-	-	-	
ii. Other securities	-	-	-	-	
b) Fair value through other comprehensive income (FVOCI) /Available for sale:					
i. Kenya Government securities	93,745,440	102,837,472	94,749,090	103,486,084	
ii. Other securities	18,814	8,999	18,814	8,999	
Deposits and balances due from local banking institutions	5,868,647	5,230,390	5,868,647	5,230,390	
Deposits and balances due from banking institutions abroad	147,399	95,474	147,399	95,474	
Tax recoverable	350,921	1,350,060	398,697	1,389,789	
Loans and advances to customers (net)	118,651,550	126,294,470	118,651,550	126,294,470	
Balances due from banking institutions in the group	31,739,282	16,090,088	31,468,359	16,121,687	
Investments in associates	-	-	-	-	
Investments in subsidiary companies	141,243	141,243	-	-	
Investments in joint ventures	-	-	-	-	
Investment properties	-	-	-	-	
Property and equipment	3,071,308	3,351,240	3,071,308	3,351,240	
Prepaid lease rentals	237,630	240,557	237,630	240,557	
Intangible assets	1,829,701	2,220,661	1,829,701	2,220,661	
Deferred tax asset	1,082,980	875,656	1,144,461	880,747	
Retirement benefit asset	-	-	-	-	
Other assets	3,191,921	5,402,602	3,204,201	5,418,717	
TOTAL ASSETS	284,691,002	285,124,538	285,404,023	285,724,441	
LIABILITIES					
Balances due to Central Bank of Kenya	-	-	-	-	
Customer deposits	224,284,420	213,349,290	224,284,420	213,349,290	
Deposits and balances due to local banking institutions	13,420	11,139,733	13,420	11,139,733	
Deposits and balances due to foreign banking institutions	142,539	1,561,623	142,539	1,561,623	
Other money market deposits	-	-	-	-	
Borrowed funds	-	-	-	-	
Balances due to banking institutions in the group	9,220,590	8,977,301	8,546,722	8,448,453	
Tax payable	-	-	69,699	25,721	
Dividends payable	-	-	-	-	
Deferred tax liability	-	-	-	-	
Retirement benefit liability	215,175	164,371	215,175	164,371	
Other liabilities	5,478,579	5,348,368	5,492,660	5,370,713	
TOTAL LIABILITIES	239,354,723	240,540,686	238,764,635	240,059,904	
SHAREHOLDERS' FUNDS					
Paid up / Assigned capital	1,997,553	1,997,553	1,997,553	1,997,553	
Share premium / (discount)	7,792,427	7,792,427	7,792,427	7,792,427	
Revaluation reserves	741,771	751,347	741,771	751,347	
Retained earnings / (Accumulated losses)	26,663,820	26,912,026	27,977,099	28,003,352	
Statutory loan loss reserve	-	216,289	-	216,289	
Other reserves (fair value)	1,315,278	646,775	1,305,108	636,134	
Proposed dividends	4,893,838	4,378,573	4,893,838	4,378,573	
Capital grants	1,931,592	1,888,862	1,931,592	1,888,862	
TOTAL SHAREHOLDERS' EQUITY	45,336,279	44,583,852	46,639,388	45,664,537	
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	284,691,002	285,124,538	285,404,023	285,724,441	

STATEMENT OF COMPREHENSIVE INCOME				
INTEREST INCOME				
Loans and advances	13,127,082	13,558,397	13,127,082	13,558,397
Government securities	12,376,736	11,281,884	12,459,334	11,333,686
Deposits and placements with banking institutions	650,145	530,499	650,145	530,499
Other interest income	634,363	851,743	634,363	851,743
Total interest income	26,788,326	26,222,523	26,870,924	26,274,325
INTEREST EXPENSES				
Customer deposits	6,458,457	6,436,104	6,435,688	6,407,540
Deposits and placements from banking institutions	62,679	215,877	62,679	215,877
Other interest expenses	976,260	1,084,935	976,260	1,084,935
Total interest expenses	7,497,396	7,736,916	7,474,627	7,708,352
NET INTEREST INCOME / (LOSS)	19,290,930	18,485,607	19,396,297	18,565,973
NON-INTEREST INCOME				
Fees and commissions on loans and advances	326,081	153,433	326,081	153,433
Other fees and commissions	4,081,334	3,622,033	5,077,993	4,361,261
Foreign exchange trading income / (loss)	2,843,768	2,661,343	2,843,768	2,661,343
Dividend income	208,460	-	-	-
Other income	953,777	1,596,297	953,381	1,596,183
Total Non-Interest income	8,413,420	8,033,106	9,201,223	8,772,220
TOTAL OPERATING INCOME	27,704,350	26,518,713	28,597,520	27,338,193
OTHER OPERATING EXPENSES				
Loan loss provision	1,930,511	4,185,571	1,930,511	4,185,571
Staff costs	7,185,924	6,549,961	7,365,038	6,724,878
Directors' emoluments	299,160	307,181	299,160	307,181
Rental charges	563,191	530,721	564,142	532,822
Depreciation charge on property and equipment	441,602	419,971	441,602	419,971
Amortisation charges	397,107	462,020	397,107	462,020
Other operating expenses	5,453,288	4,553,304	5,753,344	4,634,457
Total other operating expenses	16,270,783	17,008,729	16,750,904	17,266,900
Profit / (loss) before tax and exceptional items	11,433,567	9,509,984	11,846,616	10,071,293
Exceptional items	-	-	-	-
Profit / (loss) after exceptional items	11,433,567	9,509,984	11,846,616	10,071,293
Current tax	(3,343,244)	(4,095,502)	(3,587,864)	(4,265,896)
Deferred tax	(215,231)	1,108,171	(159,559)	1,108,701
Profit / (loss) after tax and exceptional items	7,875,092	6,522,653	8,099,193	6,914,098
OTHER COMPREHENSIVE INCOME				
Gains / (losses) from translating the financial statements of foreign operations	-	-	-	-
Fair value changes in financial assets at FVOCI/Available for sale	571,930	467,606	569,533	453,593
Revaluation surplus on property, plant and equipment	-	488,605	-	488,605
Share of other comprehensive income of associates	-	-	-	-
Income tax relating to components of other comprehensive income	(171,579)	(295,863)	(170,859)	(291,659)
Other comprehensive income for the year net of tax	400,351	660,348	398,674	650,539
Total comprehensive income for the year	8,275,443	7,183,001	8,497,867	7,564,637
EARNINGS PER SHARE - BASIC AND DILUTED (KShs)	22.44	18.50	23.09	19.64
DIVIDEND PER SHARE - DECLARED (KShs)	19.00	17.00	19.00	17.00

OTHER DISCLOSURES		BANK	
		2018 KShs. 000 Audited	2017 KShs. 000 Audited
1) NON-PERFORMING LOANS AND ADVANCES			
(a) Gross non-performing loans and advances		21,660,851	17,620,531
(b) Less: Interest in suspense		7,789,581	6,302,823
(c) Total non-performing loans and advances (a-b)		13,871,270	11,317,708
(d) Less: Loan loss provisions		6,724,460	6,808,880
(e) Net non-performing loans and advances (c-d)		7,146,810	4,508,828
(f) Realizable value of securities		4,497,335	4,116,747
(g) Net NPLs Exposure (e-f)		2,649,475	392,081
2) INSIDER LOANS AND ADVANCES			
(a) Directors, shareholders and associates		46,134	50,203
(b) Employees		6,582,941	6,329,178
(c) Total insider loans and advances		6,629,075	6,379,381
3) OFF-BALANCE SHEET ITEMS			
(a) Letters of credit, guarantees and acceptances		46,000,041	41,117,237
(b) Forwards, swaps and options		68,801,264	88,018,730
(c) Other contingent liabilities		-	-
(d) Total contingent liabilities		114,801,305	129,135,967
4) CAPITAL STRENGTHH			
(a) Core capital		35,459,462	35,628,197
(b) Minimum statutory capital		1,000,000	1,000,000
(c) Excess / (deficiency) (a-b)		34,459,462	34,628,197
(d) Supplementary capital		6,317,316	6,614,023
(e) Total capital (a+d)		41,776,778	42,242,220
(f) Total risk weighted assets		214,581,735	228,112,212
(g) Core capital / total deposit liabilities		15.81%	16.70%
(h) Minimum statutory ratio		8.00%	8.00%
(i) Excess / (deficiency) (g-h)		7.81%	8.70%
(j) Core capital / total risk weighted assets		16.52%	15.62%
(k) Minimum statutory ratio		10.50%	10.50%
(l) Excess / (deficiency) (j-k)		6.02%	5.12%
(m) Total capital / total risk weighted assets		19.47%	18.52%
(n) Minimum statutory ratio		14.50%	14.50%
(o) Excess / (deficiency) (m-n)		4.97%	4.02%
(p) Adjusted core capital/ total deposit liabilities*		15.91%	-
(q) Adjusted core capital/ total risk weighted assets*		16.63%	-
(r) Adjusted total capital/ total risk weighted assets*		19.68%	-
5) LIQUIDITY			
(a) Liquidity ratio		66.61%	58.73%
(b) Minimum statutory ratio		20.00%	20.00%
(c) Excess / (deficiency) (a-b)		46.61%	38.73%

*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the Central Bank of Kenya guidance note issued in April 2018 on implementation of IFRS 9.

DIVIDENDS

The Board has resolved to recommend to the shareholders at the forthcoming Annual General Meeting, the payment of a final dividend for the year of KShs. 14.00 for every ordinary share of KShs. 5.00. One interim dividend of KShs. 5.00 for every ordinary share of KShs. 5.00 was paid in October 2018. The total dividend therefore, is KShs. 19.00 (2017: KShs. 17.00).

The dividend will be payable to shareholders registered on the Company's Register at the close of business on 26 April 2019 and will be paid on or after 23 May 2019.

The directors are also pleased to announce the payment of the final dividend on the non-cumulative, non-redeemable, non-participating, non-voting and non-convertible preference shares for the period 30 June 2018 to 30 December 2018 at the rate of 6% per annum on the issue price of each share.

The Register will remain closed on 29 April 2019 for the preparation of dividend warrants.

NOTICE OF THE ANNUAL GENERAL MEETING

Notice is hereby given that the thirty third Annual General Meeting of the shareholders of the Company will be held at the Safari Park Hotel, on 23 May 2019.

MESSAGE FROM THE DIRECTORS

The above Statement of Comprehensive Income and Statement of Financial Position are extracts of financial statements audited by KPMG Kenya and received an unqualified opinion. They can be accessed on the Company's website www.sc.com/ke/investor-relations. To get a full picture of the Group's performance, the complete set of audited financial statements will be available on www.sc.com/ke/investor-relations after 30 April 2019 or from the Company Secretary at our offices at StandardChartered@Chiromo, 48 Westlands Road.

The financial statements were approved by the Board of Directors on 20 March 2019 and signed on its behalf by:

Mrs. Anne Mutahi
Chair to the Board

20 March 2019

Standard Chartered Bank Kenya Limited is regulated by Central Bank of Kenya.

Kariuki Ngari
Managing Director & Chief Executive Officer

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Terms and conditions apply. Standard Chartered Bank Kenya Limited is regulated by the Central Bank of Kenya.